

25VECV02844 25VECV02844

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25VECV02844 PARRA V TESLA

TENTATIVE] ORDER: Defendant Tesla Inc.'s Motion to Compel

Arbitration and Stay the Action are GRANTED.

Defendants Sunrun Installation Services Inc. and Sunrun

Inc.'s Request for Joinder is GRANTED. However, Defendant Tesla Inc.'s

Motion to Compel Arbitration and Stay the Action as related to Defendants

Sunrun Installation Services Inc. and Sunrun Inc. is DENIED. The action

against Sunrun is not stayed.

The action as to Tesla only is stayed. Arbitration

Status Conference is scheduled for _____.

Introduction

Defendant Tesla Inc. (Defendant or Tesla) moved to compel

arbitration and stay Plaintiff Leonardo Parra's (Plaintiff) Complaint.

The claims alleged against Defendant are found in the second cause of action

(COA) for breach of contract, the fourth COA for negligence, the sixth COA for

breach of express warranty, the eighth COA for breach of the implied duty of

good faith and fair dealing, the ninth COA for negligent misrepresentation, and

the tenth COA for declaratory relief.

[There is a typo in the motion. Defendant cited to

"Hyundai Amco America, Inc. v S3H Inc. (2014) 242 Cal.4th

574". (Mtn. pg. 3:11-12.) The correct citation is 342 Cal.App.4th

574. To avoid sanctions for AI hallucinations, it is important to proofread

citations.]

Procedure

Defendants Sunrun Installation Services Inc. and Sunrun Inc. (collectively, Sunrun) requested joinder to Defendant Tesla's motion to compel arbitration and motion to stay the action. The request for joinder is granted. However, the compelling of arbitration and the staying of the action, as applied to Sunrun, is DENIED because Sunrun is not seen as a contracting party to the agreement entered between Plaintiff and Tesla.

Discussion

Whether decided under Federal law or California law, the trial courts must decide first whether an enforceable arbitration agreement exists between the parties and then determine the second gateway issue whether the claims are covered within the scope of the agreement. (9 U.S.C., sec. 2 et seq.; Code Civ. Proc., sec. 1281 et seq.; *Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84; *Hyundai Amco America, Inc. v. S3H, Inc.* (2014) 232 Cal.App.4th 572, 577.) Once it is determined that an enforceable arbitration agreement exists, the burden is on the party opposing arbitration to demonstrate that an arbitration agreement is unenforceable or invalid. (*Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 70-71; *Buckhorn v. St. Jude Heritage Medical Group* (2004) 121 Cal.App.4th 1401, 1406.)

Defendant provided that the contract to install solar panels with Plaintiff (Tesla Contract) entered on January 24, 2023, included an arbitration agreement. (Compl. par. 40, Exh. D at par. 14 and Daniell Newman Decl. par. 3, Exh A.) Defendant provided a sufficient showing that an arbitration agreement exists between Defendant and Plaintiff. The burden shifts to Plaintiff to provide that the arbitration agreement is unenforceable.

Plaintiff asserted that the tort claims are based upon non-contractual duties and the tort claims do not have their "roots" in the contractual relationship between the parties, specifically the fourth COA for negligence and the ninth COA for negligent misrepresentation. Plaintiff further argued that tort claims do not arise out of the contract. The claims alleged against Tesla involve failure to properly install the solar

panel (i.e., water intrusion from improper solar panel installation and damage to roof tiles, driveway, and copper rain gutters) and involve the failure of the system to provide the benefits promised (i.e., a reduction in amount charged on Plaintiff's electrical bills). (Compl. pars. 40-56.)

However, the arbitration agreement is seen to be broadly worded because it includes disputes with Defendant "arising out of or relating to any aspect of this Agreement or your purchase of the System". Generally, the scope of an arbitration agreement is narrow when the phrase "relating to this agreement" is excluded from the terms of the arbitration agreement. (*Rice v. Down* (2016) 248 Cal.App.4th 175, 186 & 189 (*Rice*).) When the arbitration agreement only includes language stating, "arising out of", the phrase have been interpreted as to only encompassing disputes relating to the interpretation or performance of the agreement. Because Defendant's arbitration agreement included "relating to" language, the provision is interpreted as being broad, to include the alleged tort claims.

Plaintiff's reliance on the *Rice* opinion is misplaced, and the opinion does not support Plaintiff's contention. Plaintiff's argument as to the tort claims not being covered by the arbitration agreement is not persuasive.

Further, the *Rice* Court reviewed the arbitration agreement in context with the whole agreement, which involved an operating agreement for a property development company. The *Rice* Court opined that an operating agreement for a property development company does not include contractual obligations that involve legal services. The legal malpractice claims at issue in the *Rice* case were found not to be within the scope of the operating agreement but within the scope of a separate attorney-client relationship. Based upon this distinction, the *Rice* Court found that the legal malpractice claims were not within the scope of the operating agreement's arbitration agreement. In the instant action, the tort claims for damages are expressly caused by the faulty installation of the solar panels. The express context of the purchase and installation agreement is for the same solar panels. Because the tort damages are directly related to the purchase/installation contract at issue, the tort claims are within the scope of the arbitration agreement. Plaintiff's argument attempting to separate out the tort COAs is not persuasive.

Plaintiff further argued that the arbitration agreement acknowledged that tenth COA for declaratory relief is non-arbitrable. However, Plaintiff failed to present the specific language that shows that the

arbitration agreement carved out an exception for declaratory relief claims. A plain reading of the arbitration agreement showed that there was a potential for the Court or an arbitrator to determine that declaratory relief cannot be enforced. However, the arbitration agreement did not expressly carve out of the agreement. Plaintiff failed to present supportive facts or law to support their contention that declaratory relief claims are carved out. The argument is unpersuasive.

Plaintiff argued that there is potential for a conflict in rulings because the remaining claims alleged against Sunrun and Defendant LA Roofing & Builder Group Inc. dba Bumble Roofing (Bumble) are to be tried before this Court. The Court previously denied Sunrun/Bumble's motion to compel arbitration. The Court is not convinced that sending the claims against Tesla to arbitration and keeping the claims against Sunrun with this Court presents a potential for conflicting rulings. The allegations against Sunrun and Tesla are distinct as to the alleged breaches and alleged timing of the disputes. The contract and tort claims against Sunrun arose in 2022. The contract and tort claims against Tesla arose in 2023. It is undisputed that both Sunrun and Tesla allegedly caused damage to Plaintiff's roof (and other property) and caused water intrusion. However, the location of the damage is different. Sunrun allegedly failed to seal the roof's ridge line from one end of the roof to the other. (Compl. par. 29.) Tesla is alleged to have failed to seal the hole/bolts that connected the solar panels to the roof. (Compl. par. 46.) It is noted that Sunrun never installed the agreed upon solar panels. The claims against Sunrun are for negligent preparation of the roof to install the solar panels but no solar panels were ever installed. The alleged breaches are different. Common issues may arise when causation and/or damages are reviewed. But the facts, as alleged in the Complaint, show that causation and damages are distinctly alleged. Plaintiff expressly alleged an approximately nine-month gap between the water intrusion caused by Sunrun and Tesla (i.e., December 2022 and fall 2023.) (Compl. pars. 32, 47, and 48.) Further, the damage caused by Tesla in the fall of 2023 was to Plaintiff's "new wood flooring, wood ceilings, carpets, and brand-new furniture." (Compl. par. 47 (emphasis added).) The express allegation of the newness of the property gives an inference showing that the damage previously done by Sunrun was repaired and the damages caused by Tesla is different from the damages caused by Sunrun. Plaintiff's fact allegations as to the causation and damages are sufficient to show that there is a low likelihood of conflicting rulings.

Plaintiff argued that there is no evidence to show Plaintiff's intent to arbitrate all his claims. However, Defendant's initial burden on the motion is to only present the existence of an arbitration agreement. The burden transferred to Plaintiff to show that the arbitration agreement is unenforceable. With the transfer of the burden, it is Plaintiff who must show that there was no intent to arbitrate all his claims. Plaintiff failed to present any evidence to support the contention that Plaintiff lacked intent. Because there is no evidence to support the contention, Plaintiff's argument is unpersuasive.

Plaintiff failed to meet his burden to show that the Tesla arbitration agreement is unenforceable.

Tesla's motion to compel arbitration and stay the action is GRANTED. Sunrun's request to join the arbitration is DENIED.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.